

Cost Accounting Basics

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Cost Accounting is one of the most practically powerful subjects in the entire CS Executive syllabus — and one of the most frequently examined. Unlike financial accounting, which tells you what happened in the past, cost accounting tells you how much it costs to make each product, run each process, and deliver each service. This forward-looking, decision-enabling function is exactly why a Company Secretary needs cost awareness: from advising the board on pricing strategies and make-or-buy decisions to ensuring compliance with cost audit requirements under the Companies Act, 2013, a CS who understands cost accounting is exponentially more valuable than one who doesn't.

The CS Executive exam typically carries 12–16 marks for Cost Accounting in the Accounting paper, and questions range from straightforward definitions to complex cost sheet preparation with overhead allocation. The challenge most students face is that cost accounting requires both conceptual understanding AND numerical practice — you cannot score well by reading alone. This guide covers every dimension of the topic, from basic cost classification to the nuanced difference between marginal costing and absorption costing, with exam-ready depth at every tier.

Lite — Quick Review (1h–1d)

Rapid summary for last-minute revision before your exam.

Cost Accounting Basics — Key Facts for CS Executive

- Cost = the monetary value of resources used to produce goods or services
- Cost Accounting = the process of recording, classifying, and analysing costs to aid managerial decision-making
- Cost Centre = a location, person, or item of equipment for which costs are accumulated
- Cost Unit = the unit of quantity of product/service in relation to which costs are expressed (e.g., per kg, per unit, per tonne-kilometre)

The Three Elements of Cost:

Element	What It Includes	Key Sub-items
Materials	Physical goods consumed in production	Direct materials (traceable to product) + Indirect materials (factory supplies, loose tools)
Labour	Human effort paid for and used in production	Direct labour (wages of workers on the production line) + Indirect labour (supervisors, security, maintenance)
Overheads	All costs other than materials and labour	Manufacturing overheads, Administrative overheads, Selling & Distribution overheads

Cost Sheet Framework:

A cost sheet formats all cost elements systematically:

Total Cost = Direct Materials + Direct Labour + Direct Expenses + Manufacturing Overheads

[Prime Cost]

+ Manufacturing Overheads = [Cost of Production]

+ Admin Overheads = [Cost of Production]

+ Selling & Distribution Overheads = [Total Cost of Sales]

High-Yield Point: In CS Executive questions, the most common structure is: Direct Materials + Direct Labour + Direct Expenses = Prime Cost Prime Cost + Manufacturing Overheads = Cost of

Production Cost of Production + Office/Admin Overheads + Selling & Distribution Overheads = Total Cost. Know this sequence perfectly.

Exam Tip: Cost Accounting Basics frequently appears as a 4-6 mark definition or classification question. Memorise the three elements of cost, the difference between direct and indirect, and the cost sheet structure. Also know the difference between "cost of production" and "total cost of sales" — this distinction alone has been worth 3 marks in multiple past papers.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Materials — Purchase Procedure and Valuation:

The purchase function in a manufacturing company follows a systematic procurement cycle:

Requisition — Production department raises a purchase requisition specifying quantity and quality needed

Purchase Requisition Note — Sent to the Purchase Department

Quotation/Tender — Invited from approved suppliers

Purchase Order — Issued to the selected supplier, specifying price, delivery, and terms

Goods Received Note (GRN) — Prepared by the storekeeper when goods arrive, confirming quantity and quality

Invoice Processing — Invoice checked against GRN and purchase order; discrepancies noted

Payment — Cash or credit payment as per terms (e.g., 30 days net)

Material Valuation Methods:

Method	Formula/Logic	Effect on Profit	Effect on Tax	Best When
FIFO (First In, First Out)	First purchased materials issued first	Matches recent revenues with recent costs; higher profit in rising prices	Higher tax burden in inflation	Prices rising, to show higher profit
LIFO (Last In, First Out)	Last purchased materials issued first	Matches recent costs with recent revenues; lower profit in rising prices	Lower tax in inflation	Prices rising, to minimise tax
Weighted Average	Total cost ÷ Total quantity	Smooths price fluctuations	Moderate tax	Prices fluctuate frequently

Note: Under AS 2 (Accounting Standard 2) — now superseded by Ind AS 2 — the preferred method for tax purposes and financial reporting in India is FIFO or Weighted Average. LIFO is not permitted under Indian GAAP.

Inventory Control Techniques:

- ABC Analysis: A-items (top 10% of inventory items, ~70% of value) get highest control B-items (20%, ~20% value) get moderate C-items (70%, ~10% value) get minimal. Focus energy where it matters most.
- VED Analysis: Vital (stockout unacceptable), Essential (important but some stockout tolerable), Desirable (nice to have). Used primarily for spare parts inventory.
- EOQ (Economic Order Quantity): The optimal order size that minimises total annual ordering + carrying costs.
- EOQ Formula: $\sqrt{2 \times \text{Annual Demand} \times \text{Ordering Cost per Order} \div \text{Carrying Cost per Unit per Year}}$

- Example: Annual demand = 10,000 units, ordering cost = ₹200/order, carrying cost = ₹5/unit/year

$$EOQ = \sqrt{(2 \times 10,000 \times 200 \div 5)} = \sqrt{(800,000)} = 894 \text{ units per order}$$

Labour — Timekeeping, Time Booking, and Cost:

- Timekeeping: Records the time workers arrive and leave (clock cards, biometric). Purpose: to ascertain gross wages payable.
- Time Booking: Records how workers spend their time — production time, idle time, overtime, etc. (job cards, time sheets). Purpose: to allocate labour costs to jobs or cost centres.
- Idle Time: Time paid but not worked. Classified as:
 - Normal Idle Time — Inevitable (machine setting, tea breaks) treated as part of overhead
 - Abnormal Idle Time — Due to faults (power cut, material shortage) NOT charged to product cost, written to P&L
- Overtime: Extra payment beyond normal hours. Overtime premium (the extra over normal rate) is treated as an indirect cost (overhead), not part of direct labour cost.
- Labour Turnover: Rate at which employees leave and are replaced.
- Labour Turnover Rate = $(\text{No. of replacements} + \text{No. of separations}) \div \text{Average number of workers} \times 100$

Overheads — Allocation, Apportionment, and Absorption:

Primary Distribution: Apportioning overheads from service cost centres to production cost centres.

Basis	Overhead Item
Floor area (sq. metres)	Rent, rates, taxes, lighting, air-conditioning
Number of employees	Personnel department costs, canteen
Machine hours	Depreciation of machines, power consumption
Direct labour hours/wages	General supervision, idle time
Technical estimates	Based on engineering studies

Absorption Costing Methods:

Method	Formula	When Most Appropriate
Rate per Unit	$\text{Total Overhead} \div \text{Total Units Produced}$	Homogeneous production
Percentage of Direct Materials	$(\text{Overhead} \div \text{Direct Materials Cost}) \times 100$	When material cost dominates
Percentage of Direct Labour	$(\text{Overhead} \div \text{Direct Labour Cost}) \times 100$	When labour cost dominates
Machine Hour Rate	$\text{Total Overhead} \div \text{Total Machine Hours}$	Capital-intensive industries
Labour Hour Rate	$\text{Total Overhead} \div \text{Total Labour Hours}$	Labour-intensive industries

Machine Hour Rate Formula:

Fixed Overhead rate = $\text{Estimated Fixed Overheads} \div \text{Budgeted Machine Hours}$

Variable Overhead rate = $\text{Estimated Variable Overheads} \div \text{Budgeted Machine Hours}$

Total Machine Hour Rate = Fixed Rate + Variable Rate

Cost Sheet — Tenders, Quotations, and Estimates:

A cost estimate is a statement of expected cost of manufacture, prepared in advance. A tender is a cost estimate submitted to a prospective client as a price quotation. The mark-up (profit margin) is

added to the total cost to arrive at the selling price/tender price.

Typical structure in CS Executive numerical questions:

Direct Materials	₹ 50,000
Direct Labour	₹ 30,000
Direct Expenses	₹ 5,000
Prime Cost	₹ 85,000
Add: Factory Overheads (50% of DL)	₹ 15,000
Cost of Production	₹ 1,00,000
Add: Office & Admin Overheads (10% of prod cost)	₹ 10,000
Cost of Sales	₹ 1,10,000
Add: Selling & Distribution Overheads (₹2 per unit × 1,000 units)	₹ 2,000
Total Cost of Sales	₹ 1,12,000
Add: Profit Margin (20% on cost)	₹ 22,400
Selling Price / Tender Price	₹ 1,34,400

Study Strategy: The most scoring approach for cost accounting is to master cost sheet preparation, overhead absorption calculations, and material valuation (FIFO/Average) numerically. Each of these is worth 8-16 marks in combination. Practise at least 3 full cost sheet problems and 2 EOQ problems before exam day.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Job Costing, Process Costing, Batch Costing, and Contract Costing:

Job Costing: Each job is a separate cost unit. Costs are collected and accumulated for each job individually. Used in construction, printing, custom manufacturing, repair jobs. The job cost sheet is the primary document.

Journal entries in job costing:

- Direct Materials issued to job: Work-in-Progress (Job) A/c Dr. Material A/c
- Direct Labour allocated to job: Work-in-Progress (Job) A/c Dr. Wages A/c
- Overhead absorbed: Work-in-Progress (Job) A/c Dr. Manufacturing Overhead A/c

Process Costing: Used where output passes through sequential processes (e.g., chemicals, textiles, sugar, flour). Costs are averaged over units produced across all processes. Key concept: Normal Loss (expected wastage, included in cost of good output) and Abnormal Loss (excess wastage beyond expected — NOT included in good output, written off to P&L).

Process costing calculation:

Input materials: 1,000 units @ ₹10 = ₹10,000

Labour & Overheads: ₹8,000

Total cost: ₹18,000

Normal loss (5%): 50 units

Good output: 950 units

Cost per good unit = ₹18,000 ÷ 950 = ₹18.95

Abnormal loss (if actual loss > normal loss): valued at full cost per unit, written to P&L A/c

Batch Costing: A hybrid of job and process costing. A batch is a group of similar products. Costs are collected for the batch, then divided by the number of units in the batch to get cost per unit. Used in garment manufacturing, pharmaceutical manufacturing.

Contract Costing: Large, long-duration contracts (construction of buildings, bridges, shipbuilding). Revenue is recognised based on the percentage of completion method. Key concepts:

- Work Certified: Work completed and approved by the contractee's architect/engineer — this is billable.
- Work Uncertified: Work completed but not yet certified — not yet billable.
- Cost of Work Certified: The proportion of total contract cost attributable to certified work.
- Notional Profit: The difference between the value of work certified and the cost of work certified.
- Notional Profit = Value of Work Certified – Cost of Work Certified
- This is NOT the actual profit until the contract is completed
- Contract Account:
 - Dr. Side: Materials issued, Labour, Expenses, Plant deployed, Cost of work uncertified
 - Cr. Side: Work certified (billing), Material returns, Plant hire charges
- Balance = Notional Profit (if Cr. > Dr.) or Contract Loss (if Dr. > Cr.)

Marginal Costing vs. Absorption Costing — The Core Distinction:

This is perhaps the most conceptually demanding section of the CS Executive cost accounting syllabus, and also one of the most frequently examined.

Aspect	Absorption Costing	Marginal Costing
Philosophy	All manufacturing costs (fixed + variable) are assigned to products	Only variable manufacturing costs are assigned to products; fixed costs are period costs
Fixed Overhead	Absorbed into product cost via predetermined overhead rate	Treated as a period cost — written off to P&L in the period incurred
Inventory Valuation	Includes fixed manufacturing overhead higher inventory value	Fixed overhead excluded lower inventory value
Profit Calculation	Underperistency: fixed overhead held in closing inventory reduces current period expense	Marginal approach shows lower profit when inventory builds up (no fixed overhead held back)
Contribution Margin	Not a primary measure	Contribution = Sales – Variable Costs; this is the key figure

Marginal Costing Formulae:

- P/V Ratio (Profit/Volume Ratio): $(\text{Contribution} \div \text{Sales}) \times 100$
- Higher P/V ratio = higher leverage — more profit per unit of sales
- Break-Even Point (BEP): $\text{Fixed Costs} \div \text{Contribution per unit (in units)}$ or $\text{Fixed Costs} \div \text{P/V Ratio (in rupees)}$
- Example: Selling price = ₹100/unit, Variable cost = ₹60/unit, Fixed costs = ₹40,000
Contribution per unit = ₹40; P/V Ratio = 40%; BEP in units = $₹40,000 \div ₹40 = 1,000$ units; BEP in rupees = $₹40,000 \div 40\% = ₹1,00,000$
- Margin of Safety: Actual Sales – Break-Even Sales
- Example: If actual sales = ₹2,00,000, BEP sales = ₹1,00,000 Margin of Safety = ₹1,00,000 (50%)
- Target Profit Calculation: $(\text{Fixed Costs} + \text{Target Profit}) \div \text{Contribution per unit}$

Why Marginal Costing Matters for Decision-Making:

- Make or Buy Decisions: Compare variable cost of making internally vs. purchase price from supplier. If outsource price < variable cost of making buy.
- Special Order Pricing: Accept orders above marginal cost (provided spare capacity exists) — any contribution above variable cost improves overall profitability.

- Limiting Factor Analysis: When a scarce resource (e.g., machine hours, skilled labour) constrains production, maximise contribution per unit of the scarce factor — not contribution per unit of product.
- Shut Down Decisions: If contribution from continuing operations is negative (i.e., sales revenue < variable costs), the company should consider shutting down the loss-making division.

Common CS Executive Examiner Traps:

Treating all labour as direct labour — Only labour that is directly traceable to a specific product or job is direct labour. Supervisory, timekeeping, and maintenance labour is always indirect.

Confusing cost allocation with cost apportionment — Allocation applies when a cost can be directly traced to a cost centre (directly assignable); apportionment applies when costs are shared among multiple cost centres (requires a suitable basis).

Incorrect EOQ calculation — Ensure you square the numerator before taking the square root. Check units: Annual demand $\times$ Ordering cost gives (units $\times$ ₹/order); dividing by carrying cost (₹/unit/year) gives units².

Forgetting that abnormal loss in process costing is valued at full cost per unit of good output — This is a classic trap: the abnormal loss unit cost is not the same as the normal loss cost.

Mixing up Break-Even analysis conventions — Always use contribution per unit (not profit per unit) as the numerator.

Confusing marginal costing profit with absorption costing profit — In periods of increasing inventory, absorption costing will show higher profit because fixed overhead is "held" in closing stock. In periods of decreasing inventory, absorption costing shows lower profit. In periods of constant inventory, both methods show the same profit.

Continue your study

- View this topic in your CS Executive roadmap — see where "Cost Accounting Basics" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Accounting notes — browse sibling topics in this subject